Macro update: Country A & Country B

Prepared for DFI due diligence - Q3 2026

September 2026

Kessport Frontier Managers Limited

Supporting annex to the Project Dunecrest transaction materials

Strictly Private and Confidential

Macro: Country A Update_ Overview of Recent Economic Developments

Country A's equity index has risen +55.9% over the last three years and the local currency (LCA) has appreciated +8.8% against the US dollar to USD 0.235 per LCA, the rate used in the transaction model, although it has eased 3.7% over the past year. Real growth remains low and steady (2.0% in 2025, 2.3% expected in 2026), inflation is high but easing (6.2% average in 2025), the fiscal deficit persists at 5.8% of GDP, reserves are stable at about USD 7.9 billion and public debt stands at 78.3% of GDP. In August 2026 a major international rating agency upgraded the sovereign by one notch to B with a Stable outlook, citing an improved external position, resilient FDI and steady multilateral and bilateral disbursements, while flagging the absence of market access, the lack of a multilateral-lender programme, commodity-price vulnerability and the unfinished subsidy reform. The agency projects the current-account deficit to widen to 3.1% of GDP by 2027 and FDI to recover to about 2.5% of GDP.

Economic outlook

Indicator	2025A	2026E	2027F
Real GDP (% growth)	2.0	2.3	2.5
Consumer prices (% growth, avg)	6.2	5.5	5.0
Fiscal balance (% of GDP)	(5.8)	(5.2)	(4.7)
Current account balance (% of GDP)	(2.1)	(2.7)	(3.1)

FX reserves and debt

	Avg 2019-24	2025A	2026E	2027F
FX reserves (USD bn, end of period)	7.0	7.9	8.2	8.4
Public debt (% of GDP)	77.0	78.3	78.2	77.8

Credit rating history (major rating agency)

Date	Rating	Outlook
Feb'19	BB-	Stable
Sep'20	B+	Negative
May'21	B	Negative
Jan'22	B-	Negative
Oct'22	CCC+	
Jun'23	CCC	
Feb'25	CCC+	
Nov'25	B-	Stable
Aug'26	**B**	**Stable**

2.0% Real GDP growth 2025A

6.2% CPI inflation 2025A (avg)

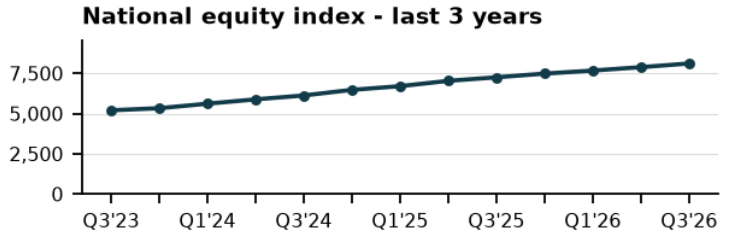
7.75% Central bank policy rate

(2.1)% Current account 2025A (% GDP)

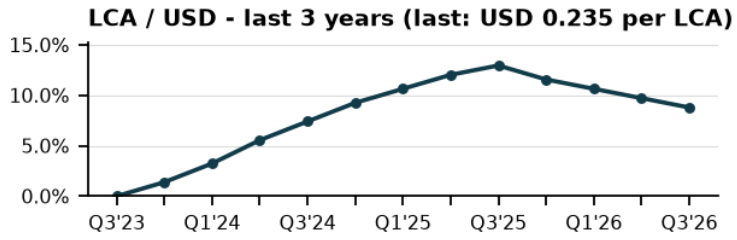
USD 0.235 per LCA (model conversion rate)

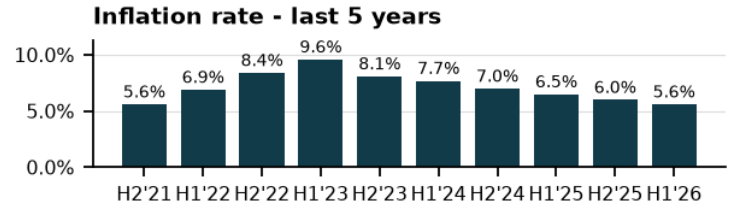
3.9 mths FX reserves in months of imports

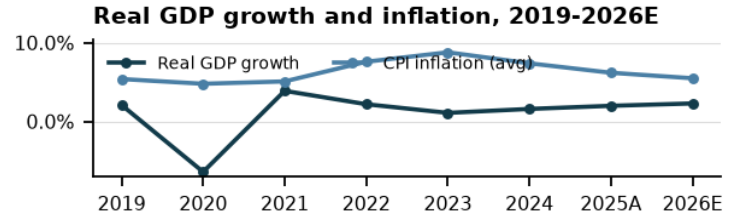
Equity index	L3Y	L1Y	L6M	L1M	YTD	L1W
Last: 8,120 pts	+55.9%	+11.8%	+5.7%	+1.1%	+8.4%	+0.3%

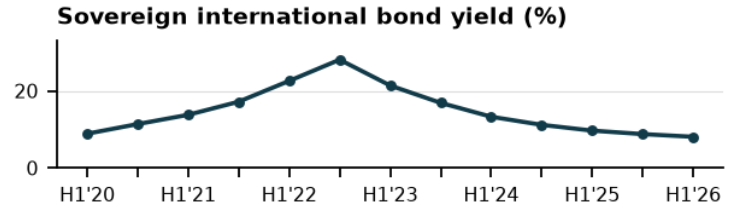


LCA vs USD	L3Y	L1Y	L6M	L1M	YTD	L1W
Last: 23.5 US cents	+8.8%	-3.7%	-1.7%	-0.2%	-2.5%	-0.1%

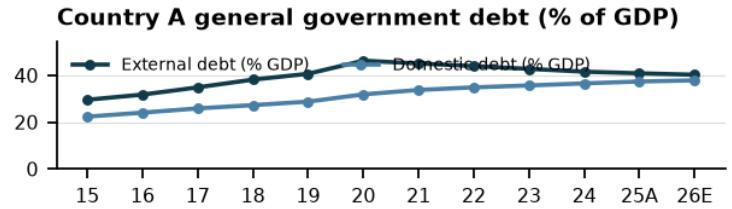








Yield spike in 2021-22 reflects the 2020 external shock and the loss of market access; normalised since the 2025 rating recovery.



Source: national statistics offices and central banks (synthetic); multilateral-style projections (synthetic)

Macro: Country A Update_ Key Rating Drivers & Outlook (rating-agency report, Aug 2026)

External position and financing

- Ratings upgraded on an improved external position: the one-notch upgrade to B with a Stable outlook reflects a current-account deficit that has narrowed to 2.1% of GDP in 2025 from an average of 5.9% over 2019-24, a rebuilding of reserves to USD 7.9 billion and an orderly repayment record. The rating remains constrained by the absence of international market access since 2023, the lack of a programme with a multilateral lender, a high vulnerability to imported energy and grain prices, and the still-pending reform of energy and food subsidies.
- Lower current-account deficits, widening from a low base: the agency projects the deficit at 2.7% of GDP in 2026 and 3.1% in 2027 as import demand recovers with growth. The services balance has improved on tourism receipts of about 7.1% of GDP and remittance inflows of 4.9% of GDP, both above their 2019 levels. The projected deficits remain well below the 3.4% of GDP median for single-B rated peers, which supports the external assessment.
- Resilient external financing: net FDI reached 2.1% of GDP in 2025 against a ten-year average of 1.8%, concentrated in export manufacturing, renewable energy and pharmaceuticals. Multilateral and bilateral disbursements of about USD 1.1 billion are expected in 2026, covering roughly half of gross external financing needs. The agency expects FDI to rebound further to 2.5% of GDP in 2027 as announced industrial projects reach financial close.
- Narrowing net external financing outflows: external amortisations decline from 2.9% of GDP in 2025 to 2.4% in 2026 and 2.0% in 2027. The remaining international bond, USD 420 million maturing in March 2028, is the last commercial external maturity and is expected to be met from reserves and a further drawing under the stabilisation facility. Reserves are equivalent to 3.9 months of current external payments, up from 3.2 months at end-2023, and are projected at 4.2 months by end-2027.

Fiscal and debt dynamics

- High but declining fiscal financing needs: gross fiscal financing needs fall from 12.1% of GDP in 2025 to 10.9% in 2026 and 9.8% in 2027, against a 2019-24 average of 10.3% and a peer median of 8.2%. External amortisations account for roughly a third of the total, with the remainder rolled over domestically through the banking system and the treasury-bill market at maturities that have lengthened modestly over the past year.
- Domestic stabilisation facility: under the Treasury Stabilisation Facility agreed with the central bank, the bank subscribed LCA 4.5 billion of long-dated treasury paper (about USD 1.1 billion at the model's USD 0.235 per LCA conversion rate) at a concessional 1.0% coupon with a 12-year tenor and a two-year grace period, covering a large part of the 2025 domestic financing need. The domestic financing need is projected to decline from 7.9% of GDP in 2025 to 6.6% in 2027. The agency assumes a further drawing of similar structure to service the March 2028 bond, which it views as credit-neutral given reserve adequacy.
- Declining fiscal deficits: the overall deficit narrows from 5.8% of GDP in 2025 to 5.2% in 2026 and 4.7% in 2027, driven by containment of the wage bill at about 13.6% of GDP despite the resumption of civil-service hiring, and by a decline in subsidy costs from 2.9% to 2.2% of GDP on lower imported energy prices. The primary deficit improves from 1.5% to 0.4% of GDP over the same period; revenue measures contribute only marginally.
- High public debt: general government debt is stable at 78.3% of GDP in 2025, of which external debt is 40.9% and domestic debt 37.4%; the agency projects 78.2% in 2026 and 77.8% in 2027. The small decline is attributable to the currency's cumulative appreciation since 2023 reducing the local-currency value of external debt and to lower primary deficits, rather than to nominal growth, which remains below the effective interest rate on domestic debt.

Source: rating-agency press release (synthetic paraphrase); national statistics offices and central banks (synthetic); multilateral-style projections (synthetic)

Macro: Country B Update_ Overview of Recent Economic Developments

1. The recovery since the 2020 external shock has been driven by hydrocarbon revenues and public spending. Real GDP grew 3.1% in 2025 after 3.2% in 2024, supported by a fiscal expansion under the multi-year public investment plan that lifted public wages, transfers and capital spending. The overall fiscal deficit widened to 10.2% of GDP in 2025 from 4.8% in 2023, while inflation eased markedly on lower food prices and a firmer nominal exchange rate.

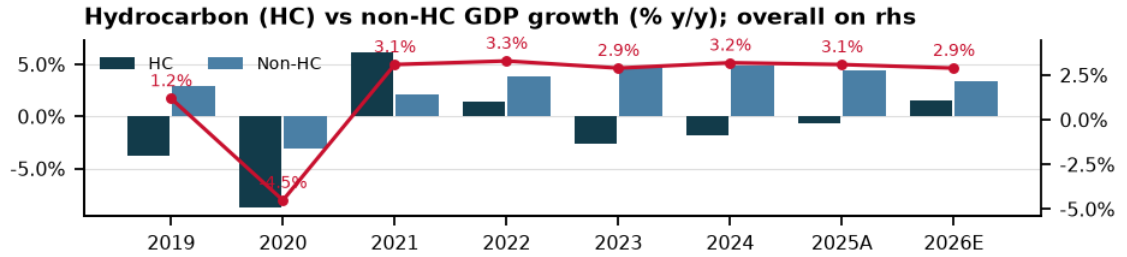
2. The government's medium-term programme implies policy continuity. The 2026 budget prioritises household purchasing power, public investment in transport and water infrastructure, and diversification beyond hydrocarbons. Independent forecasters continue to argue that durable diversification requires private-sector-led structural reform: a more open investment regime, a smaller public footprint in banking and industry, and a streamlined land-allocation process.

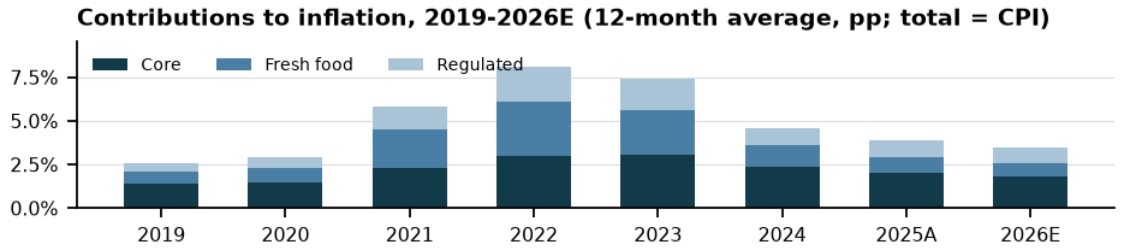
3. Real GDP growth tapered while inflation fell sharply. Hydrocarbon output contracted 0.7% in 2025 as the state producer's output ceiling and field maintenance limited crude volumes, whereas the non-hydrocarbon economy grew 4.4% on construction, agriculture and public services. Average inflation fell to 3.9% in 2025 from 7.4% in 2023, with fresh-food prices contributing 0.9 percentage points against 2.5 points two years earlier.

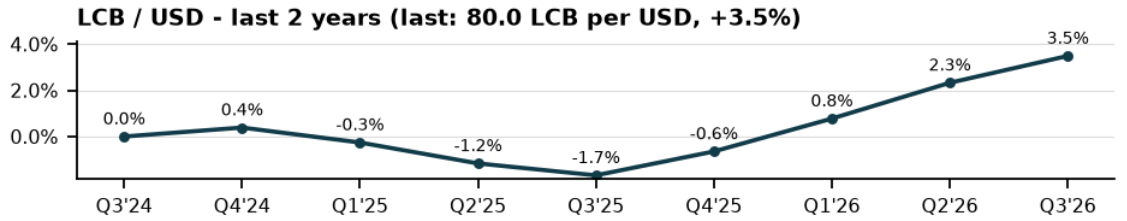
4. The current account turned to a deficit of 1.8% of GDP in 2025 (surplus of 7.4% in 2022) on lower hydrocarbon volumes and prices and higher capital-goods imports. The nominal effective exchange rate was broadly stable; the local currency (LCB) has weakened 3.5% against the US dollar over two years to 80.0 LCB per USD (USD 0.0125 per LCB, the model rate). Gross reserves stood at USD 53.7 billion, or 11.3 months of imports.

5. Banks are liquid, solvent and profitable, but non-performing loans remain high at about 15% of gross loans, concentrated in state-owned enterprises. Credit to the economy grew 7.4% in 2025, with credit to the private sector up 5.6% while net credit to government expanded 12.9% as the treasury drew on domestic bank financing to cover the widening deficit. Capital adequacy averages 18.2% and the loan-to-deposit ratio is about 75%.

3.1% Real GDP growth 2025A	**3.9%** CPI inflation 2025A (avg)	**3.25%** Central bank policy rate
(1.8)% Current account 2025A (% GDP)	**80.0** LCB per USD (model conversion rate)	**11.3 mths** Gross reserves in months of imports







Source: national statistics offices and central banks (synthetic); multilateral-style projections (synthetic)

Macro: Country B Update_ Outlook and Implications for the Portfolio

1. Near-term outlook and the need for policy adjustment. The 2026 public-investment programme and the January wage increase will support domestic demand, but falling hydrocarbon prices are expected to widen the overall deficit to 10.9% of GDP. A higher production ceiling should lift hydrocarbon output by 1.5% and keep real growth near 2.9% in 2026; prospects for 2027 are dampened by weaker external demand and a slower pace of public capital spending. Inflation should stay moderate at 3.5% as food supply normalises, while the current-account deficit widens to 3.4% of GDP and reserves fall to USD 48.5 billion. In our view a gradual fiscal consolidation of about 1% of GDP a year and greater exchange-rate flexibility would be prudent.

Country B: Macroeconomic and financial indicators, 2021-2031	2021	2022	2023	2024	2025	2026P	2027P	2028P	2029P	2030P	2031P
Output and prices (annual % change)											
Real GDP	3.1	3.3	2.9	3.2	3.1	2.9	2.8	2.6	2.5	2.4	2.3
Hydrocarbon sector	6.2	1.4	(2.6)	(1.8)	(0.7)	1.5	1.3	0.9	0.7	0.5	0.4
Non-hydrocarbon sector	2.1	3.9	4.8	4.9	4.4	3.4	3.3	3.1	3.0	2.9	2.8
Consumer price index (period average)	5.8	8.1	7.4	4.6	3.9	3.5	3.3	3.2	3.1	3.0	3.0
Central government finances (% of GDP)											
Overall balance	(6.1)	(2.4)	(4.8)	(8.9)	(10.2)	(10.9)	(10.5)	(9.9)	(9.4)	(8.9)	(8.5)
Gross government debt (excl. guarantees)	51.3	45.7	45.2	47.4	51.6	56.8	61.4	65.5	69.3	72.7	75.8
Non-hydrocarbon balance (% of non-hydrocarbon GDP)	(23.8)	(25.6)	(27.9)	(29.8)	(28.7)	(27.9)	(26.8)	(25.7)	(24.7)	(23.8)	(22.9)
External sector											
Current account balance (% of GDP)	(2.1)	7.4	3.1	0.6	(1.8)	(3.4)	(3.8)	(3.5)	(3.2)	(2.9)	(2.7)
Gross official reserves (US$ billions)	39.8	52.6	58.9	57.4	53.7	48.5	42.8	36.9	31.4	26.2	21.4
in months of next year's imports of G&S	10.2	12.6	13.4	12.5	11.3	9.8	8.4	7.0	5.8	4.7	3.7

2. Medium-term prospects (baseline projection). Growth slows to 2.3% by 2031 as hydrocarbon output plateaus and public investment loses momentum; inflation eases to 3.0%. The current-account deficit narrows to 2.7% of GDP but reserves decline to USD 21.4 billion, or 3.7 months of imports. The non-hydrocarbon deficit narrows to 22.9% of non-hydrocarbon GDP, yet gross government debt rises from 51.6% of GDP in 2025 toward 75.8% by 2031, financed largely domestically.

3. The government's view. The government expects growth of about 4% a year over the medium term, supported by a structural-reform agenda centred on a package of investment-climate measures, a pipeline of mining, transport and water projects, and a doubling of non-hydrocarbon exports by 2030. It considers the reserve buffer ample, sees the fiscal deficit as temporary and linked to the investment cycle, and intends to keep the exchange-rate regime unchanged while broadening domestic debt markets.

Country A vs Country B - key indicators

Indicator	Country A	Country B
Real GDP growth 2025A / 2026E	2.0% / 2.3%	3.1% / 2.9%
CPI inflation 2025A / 2026E (avg)	6.2% / 5.5%	3.9% / 3.5%
Policy rate (current)	7.75%	3.25%
Fiscal balance 2025A (% GDP)	(5.8)	(10.2)
Current account 2025A (% GDP)	(2.1)	(1.8)
Public debt 2025A (% GDP)	78.3	51.6
Reserves (months of imports)	3.9	11.3
FX vs USD (model conversion rate)	USD 0.235 per LCA	USD 0.0125 per LCB
Sovereign rating / outlook	B / Stable (Aug 2026)	Not rated; no external market debt

Implications for the two portfolio companies

- Healthcare demand (Arvenna Health Group, Country A): private healthcare demand has outpaced the economy - AHG revenue grew at a 10.5% CAGR over 2019-25 to USD 54.9 million (LCA 233.8 million) against nominal GDP growth of roughly 8%, and the model's 2026E revenue of USD 62.3 million (+13.4%) assumes per-test price growth of 6.4% at AHG Central in 2025 versus 6.2% CPI, i.e. modest real pricing power; 2026E EBITDA of USD 14.6 million (from 13.0 million) is exposed mainly to wage inflation and imported consumables.
- Consumer staples (Tallowick, Country B): disinflation to 3.9% and the wage increase support household volumes; the model's net revenue of USD 132.6 million (LCB 10.61 billion) in 2025A rising to USD 141.4 million in 2026E (+6.6%, versus a 6.9% 2019-25 CAGR) and EBITDA of USD 18.1 million rising to 22.3 million rest on stable regulated-food pricing and on imported raw-material costs that track the LCB.
- FX translation: the model converts at USD 0.235 per LCA and USD 0.0125 per LCB. The LCA has appreciated +8.8% over three years, flattering AHG's USD figures, while the LCB has weakened 3.5% over two years; a 10% LCB depreciation would reduce Tallowick's 2026E USD EBITDA by about USD 2.2 million before pricing offsets.
- Transfer and convertibility: Country A's reserves of 3.9 months and lack of market access make dividend repatriation timing the key risk, mitigated by DFI participation and central-bank approved repatriation channels; Country B's buffer of 11.3 months is comfortable today but projected to erode, arguing for a USD hedging or retained-cash policy at Tallowick over the hold period.

Source: national statistics offices and central banks (synthetic); multilateral-style projections (synthetic)